may be painful to buy into a panic over the short run, but over the long run, it can pay off if you are buying stocks well below their value.

What prompted you to start a hedge fund?

I had been doing research for 15 years, and I thought I was pretty good at it. I had also been investing in the ideas that I was recommending all along. Starting a hedge fund seemed like a natural outgrowth of what I had already been doing. Also, I was able to start the fund within my own firm. I launched the fund in 1999 with $3 million; one third was my own money, and Chuck Royce and friends and family accounted for the rest. When I started the fund, it was right in the middle of the Internet craze. I found some good value names in that space.

How could you possibly have found value in Internet stocks in 1999?

I found fiber-optic businesses that were buried inside of larger companies. You could buy some of these companies for P/Es as low as 11 or 12 and effectively get a free call on the fiber optic portion of their business, which was not reflected in the price. One example was Newport Corporation, which was primarily known as a company that produced test and measurement equipment for the semiconductor industry. When I purchased it in 1999 at the presplit price of $14 per share, it was trading around 11 times next year's earnings, had a nice balance sheet, and was very capably managed. What most investors didn't realize at the time was that the company contained a division, accounting for a quarter of total sales, that produced products used in the fiber optic component manufacturing process. In other words, they made products that helped build the "information superhighway." As fiber optic networks were built out, Newport's little division benefited. Sales increased by 80 percent in 2000, and the share price rose even faster. In 2000, I began taking profits in the 30s, thinking that at those levels the stock had reached intrinsic value. I sold the last of my shares around $100, at which point I thought the stock was grossly overvalued. I failed to appreciate that in a market where Internet stocks with little or even no earnings and minuscule revenues could magically levitate to stratospheric levels based on silly metrics like sales per engineer, there was no telling how high a "real